

Mindteck Inc.

Financial statements

March 31, 2016 and 2015

(With Independent Auditors' Report thereon)

MINDTECK INC.
Financial Statements
March 31, 2016 and 2015

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Independent Auditors' Report

The Board of Directors
Mindteck (India) Limited:

Report on the Financial Statements

We have audited the accompanying financial statements of Mindteck Inc. ("the Company"), which comprise the balance sheets as at March 31, 2016 and 2015, the statements of income and comprehensive income, changes in stockholders' equity and cash flows for the years then ended, and notes, comprising a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with U.S. generally accepted accounting principles and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at March 31, 2016 and 2015, and of its financial performance and its cash flows for the years then ended in accordance with U.S. generally accepted accounting principles.

Bangalore, India

July 29, 2016

MINDTECK INC.
BALANCE SHEETS
(In United States Dollars)

<u>Assets</u>	<u>As of March 31, 2016</u>	<u>As of March 31, 2015</u>
<i>Current assets:</i>		
Cash and cash equivalents	1,916,285	1,589,582
Accounts receivable from affiliates (Notes 3 & 10)	421,071	297,047
Accounts receivable, net of allowances (Note 3)	5,531,540	6,231,585
Unbilled revenue	1,414,697	1,394,761
Loan to affiliates (Note 10)	332,960	185,960
Income tax assets	159,135	144,202
Other current assets (Note 4)	108,681	97,795
Total current assets	9,884,369	9,940,932
Plant and equipment, net (Note 5)	61,829	136,711
Goodwill (Note 6)	2,219,224	2,219,224
Deposits	40,775	38,028
Total assets	12,206,197	12,334,895
 <u>Liabilities and Stockholders' equity</u>		
<i>Current liabilities:</i>		
Accounts payable	586,988	723,968
Accounts payable to affiliates (Note 10)	852,414	1,017,506
Income tax liabilities	5,542	-
Other current liabilities (Note 8)	1,463,907	1,815,242
Unearned revenue	103,989	229,022
Compensated absences	359,614	353,301
Total current liabilities	3,372,454	4,139,039
Deferred income tax liability (Note 9)	564,635	495,062
Total liabilities	3,937,089	4,634,101
Stockholders' equity		
Common stock, \$1 par value; Authorized 250,000 shares; issued and outstanding 19,000 shares	19,000	19,000
Additional paid-in capital	8,130,281	8,123,979
Retained earnings /(accumulated deficit)	119,827	(442,185)
Total stockholders' equity	8,269,108	7,700,794
Total liabilities and stockholders' equity	12,206,197	12,334,895

See accompanying notes to financial statements.

MINDTECK INC.
STATEMENTS OF INCOME AND COMPREHENSIVE INCOME
(In United States Dollars)

	<u>Year ended March 31, 2016</u>	<u>Year ended March 31, 2015</u>
Revenues	33,122,773	40,641,263
Operating expenses:		
Cost of revenues (excluding depreciation and amortization)	(27,804,093)	(33,764,354)
Selling, general and administrative expenses (excluding depreciation and amortization)	(4,638,261)	(5,902,667)
Depreciation and amortization (Note 5)	(33,259)	(40,792)
Total operating expenses	<u>(32,475,613)</u>	<u>(39,707,813)</u>
Operating income	647,160	933,450
Other income	4,028	2,763
Interest income / (expense)	1,018	(2,088)
Income before income taxes	652,206	934,125
Income tax (expense) / credit (Note 9)	(90,194)	1,117,083
Net income	<u>562,012</u>	<u>2,051,208</u>
Other comprehensive income	-	-
Comprehensive income	<u><u>562,012</u></u>	<u><u>2,051,208</u></u>

See accompanying notes to financial statements.

MINDTECK INC.
STATEMENTS OF STOCKHOLDERS' EQUITY
(In United States Dollars, except share data)

	Common Stock Number of shares	Amount	Additional Paid-in Capital	(Accumulated deficit)/Retained earnings	Accumulated Other Comprehensive income	Total Stock holders' equity
Balances at April 1, 2014	19,000	19,000	8,120,737	(2,493,393)	-	5,646,344
Stock compensation expense [Note 11]	-	-	3,242	-	-	3,242
Net income	-	-	-	2,051,208	-	2,051,208
Other comprehensive income	-	-	-	-	-	-
Balances as of March 31, 2015	19,000	19,000	8,123,979	(442,185)	-	7,700,794
Stock compensation expense [Note 11]	-	-	6,302	-	-	6,302
Net income	-	-	-	562,012	-	562,012
Other comprehensive income	-	-	-	-	-	-
Balances as of March 31, 2016	19,000	19,000	8,130,281	119,827	-	8,269,108

See accompanying notes to financial statements.

MINDTECK INC.
STATEMENTS OF CASH FLOWS
(In United States Dollars)

	Year ended March 31, 2016	Year ended March 31, 2015
Cash flows from operating activities:		
Net income	562,012	2,051,208
<i>Adjustments to reconcile net income to net cash provided by operating activities:</i>		
Depreciation	33,259	40,792
Stock compensation expense	6,302	3,242
Deferred income tax expense	69,573	47,348
<i>Changes in operating assets and liabilities</i>		
Accounts receivable and unbilled revenue	556,085	1,438,218
Other assets and deposits	(13,633)	(43,804)
Income taxes	(9,391)	(1,212,508)
Accounts payable	(302,072)	(643,032)
Other liabilities	(470,055)	(162,841)
Net cash provided by operating activities	432,080	1,518,623
Cash flows from investing activities:		
Expenditure on Plant and equipment	(10,005)	(160,381)
Proceeds from sale of plant and equipment	51,628	-
Loan (given to) / repaid by Mindteck Singapore Pte Ltd	(147,000)	45,064
Net cash used in investing activities	(105,377)	(115,317)
Net changes in cash and cash equivalents	326,703	1,403,306
Cash and cash equivalents at beginning of year	1,589,582	186,276
Cash and cash equivalents at end of year	1,916,285	1,589,582
Supplementary information:		
Cash paid for interest	2,033	2,028
Cash received for interest	1,239	-
Income taxes paid	30,012	48,077

See accompanying notes to financial statements.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

1. Organization and description of the business

Mindteck Inc. ("the Company"), is a software development and consulting company headquartered in Camp Hill, Pennsylvania. The Company was incorporated in November 1995 and is a wholly owned subsidiary of Mindteck (India) Limited ('MIL').

2. Summary of Significant Accounting Policies

(a) Basis of preparation of financial statements:

The accompanying financial statements have been prepared in conformity with U.S. Generally Accepted Accounting Principles (U.S. GAAP).

(b) Use of estimates:

The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions. These estimates and assumptions affect the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Significant estimates and assumptions are used for, but not limited to, accounting for costs and efforts expected to be incurred to complete performance under software development arrangements, allowance for uncollectible accounts receivable, the useful lives of plant and equipment and intangible assets, income tax valuation allowances and reserve for uncertain tax positions. Actual results could differ from those estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the financial statements.

(c) Revenue recognition:

The Company derives its revenues primarily from software development and technical consultancy services. Software development and technical consultancy services are performed under both time-and-material and fixed-price arrangements. Revenues are recognized as the services are rendered for time-and-material contracts and for fixed fee arrangements, on a proportional performance basis based on actual direct costs in relation to total estimated costs. Revenues are recognized when persuasive evidence of an arrangement exists, the sales price is fixed or determinable and collectability is reasonably assured.

Revenues are recognized net of value added tax, service tax and applicable discounts.

The Company records reimbursable out-of-pocket expenses in both revenues and as cost of revenue.

Costs and earnings in excess of billings are classified as unbilled revenue while billings in excess of costs and earnings are classified as unearned revenue.

Interest income is recognized using the time proportion method, based on the transactional interest rates.

(d) Cash and cash equivalents:

The Company considers all highly liquid investments with a remaining maturity at the date of purchase of three months or less and that are readily convertible to known amounts of cash to be cash equivalents. Cash and cash equivalents comprise cash and cash on demand deposit with banks.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

(e) Fair value of financial instruments and concentration of credit risk:

The amounts reflected for cash and cash equivalents, billed and unbilled receivables and accounts payable approximate their fair value due to their short maturities. Financial instruments that potentially subject the Company to concentration of credit risk consist primarily of cash and cash equivalents and billed and unbilled receivables. The Company mitigates its risk with respect to cash and cash equivalents by maintaining its deposits with financial institutions. The accounts receivable, net of allowances, amounted to USD 5,952,611 and USD 6,528,632 as of March 31, 2016 and 2015 respectively. Two customers accounted for 26% and 18% of total revenues in 2016 and accounted for 26% and 17% of total revenues in 2015. The amounts due from these customers accounted for 27% and 14% of accounts receivable as of March 31, 2016 and 29% and 14% as of March 31, 2015.

Accounts receivable are recorded at the invoiced amount and do not bear interest. The carrying amount of the accounts receivable is reduced by an allowance for doubtful accounts that reflects management's best estimate of the amounts that will not be collected.

(f) Plant and equipment, net:

Plant and equipment are stated at cost less accumulated depreciation. The costs of additions are capitalized, while repairs and maintenance are charged to expense as incurred. The Company depreciates plant and equipment over the estimated useful life using the straight-line method. The estimated useful lives of assets are as follows:

Asset classification	Useful life
Computer and office equipment	3 years
Software	5 years
Furniture and fixtures	5 years
Leasehold improvements	7 years

Assets under leasehold improvements are amortized over their estimated useful life or the lease term, whichever is lower.

(g) Business combinations, goodwill and intangible assets:

The Company accounts for its business combinations by recognizing the identifiable tangible and intangible assets and liabilities assumed, and any non-controlling interest in the acquired business, measured at their acquisition date fair values. Fair value of contingent consideration is included in the purchase consideration and transaction costs are expensed as incurred.

The Company does not amortize goodwill but instead tests goodwill for impairment at least annually, using a two-step impairment process. The fair value of the reporting unit is first compared to its carrying value (including goodwill). The fair value of the reporting unit is determined using a combination of valuation techniques including discounted cash flow analysis and market value approaches based on multiples. If the fair value of the reporting unit exceeds the carrying value of the net assets assigned to that unit, goodwill is not impaired. If the carrying value of the net assets assigned to the reporting unit exceeds the fair value of the reporting unit, then the implied fair value of the reporting unit's goodwill is compared with the carrying value of the reporting unit's goodwill. The implied fair value of goodwill is determined in the same manner as the amount of goodwill recognized in a business combination. If the carrying value of a reporting unit's goodwill exceeds its implied fair value, then an impairment loss equal to the difference is recorded.

Intangible assets acquired individually, with a group of other assets or in a business combination are carried at cost less accumulated amortization.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

(h) Impairment or disposal of long-lived assets:

Long-lived assets to be held and used are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of such assets may not be recoverable. Such assets are considered to be impaired if the carrying amount of the assets is higher than the future undiscounted net cash flows expected to be generated from the assets. The impairment amount to be recognized is measured by the amount by which the carrying value of the assets exceeds its fair value. The Company measures long-lived assets held-for-sale, at the lower of carrying amount or fair value, less costs to sell.

(i) Income taxes:

Income taxes are accounted for under the asset and liability method. The current charge for income taxes is calculated in accordance with the relevant tax regulations applicable to the Company. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to temporary differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases and operating loss carry-forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment date. The measurement of deferred tax assets is reduced, if necessary, by a valuation allowance for any tax benefits of which future realization is not more likely than not. Changes in valuation allowance from period to period are reflected in the statement of income in the period of change. Tax benefits of deduction earned on exercise of stock options in excess of compensation charged to earnings are credited to additional paid in capital.

The Company recognizes the effect of income tax positions only if those positions are more likely than not of being sustained. Recognized income tax positions are measured at the largest amount that is greater than 50% likely of being realized. Changes in recognition or measurement are reflected in the period in which the change in judgment occurs.

The Company recognizes interest and penalties related to unrecognized tax benefits in income tax expense.

ASC 740 clarifies the accounting for uncertainty in income taxes recognized in an enterprise's financial statements and prescribes a recognition threshold and measurement attribute for the financial statements recognition and measurement of a tax position taken or expected to be taken in a tax return. The Company is required to recognize in the financial statements the impact of a tax position, if that position is more likely than not of being sustained on audit, based on the technical merits of the position. For the year ended March 31, 2016, the Board of Directors identified no material uncertain income tax positions relevant to the jurisdictions where the Company is required to file income tax returns.

(j) Compensated absences:

The Company's liability towards compensated absences is accounted for on the basis of unavailed encashable leave balances at applicable encashable rates.

(k) Foreign currency translation:

The Company's functional currency and reporting currency is the United States Dollar (USD/\$). Foreign currency denominated assets and liabilities are translated into the functional currency at exchange rates in effect at the balance sheet date. The gains or losses resulting from such translations are included in earnings. Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net income for the period in which the transaction is settled. Revenue, expense and cash-flow items denominated in foreign currencies are translated into the functional currency using the exchange rate in effect on the date of the transaction.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

(l) Employee stock options:

Certain employees of the Company have been granted stock options under MIL's Mindteck Employee Stock Option Scheme, 2005, which gives such employees the right to purchase equity shares of MIL on exercise.

The Company accounts for its employee stock-based compensation awards measuring and recognizing compensation expense for all stocks-based payments awards based on the grant date fair value of those awards.

For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

(m) Commitments and contingencies

Liabilities for loss contingencies arising from claims, assessments, litigations, fine and penalties and other sources are recorded when it is probable that a liability has been incurred and the amount of the assessment and/or remediation can be reasonably estimated.

(n) Leases

(i) Operating leases

Leases where the lessor effectively retains substantially all the risks and benefits of ownership of the leased asset are classified as operating leases. Payments for assets acquired under an operating lease are recognized in the statement of operations over the term of the lease on a straight-line basis.

(ii) Capital leases

Assets acquired under capital leases are initially recognized at the lower of the fair value of the leased assets at inception and the present value of minimum lease payments. Lease payments are apportioned between finance charges and reduction of the outstanding liability. Finance charges are allocated to periods during the lease term at a constant periodic rate of interest on the remaining balance of the liability.

(o) Cost of revenues and selling, general and administrative expenses

Cost of revenue primarily includes the compensation cost of technical staff, travel costs, sub-contractor costs, data and portal expenses, and other expenses that are related to the generation of revenue.

Selling, general and administrative expenses generally include the compensation cost of sales, management and advisory personnel, travel costs, training cost, advertising, business promotion, rent, repairs, electricity, communication expenses and other general expenses not attributable to cost of revenue.

Advertising costs are expensed as incurred and are included in selling, general and administrative expenses.

(p) Recently Issued Accounting Standards

In November 2015, the FASB issued ASU 2015-17, *Balance Sheet Classification of Deferred Taxes*, which requires all deferred tax assets and liabilities, and related valuation allowances, to be classified as noncurrent on the Company's balance sheets. ASU 2015-17 is effective for the Company for annual periods in fiscal years beginning after December 15, 2017, and requires either prospective or retrospective adoption. The Company is planning to adopt the same prospectively.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

3. Accounts receivable:

Accounts receivable consists of:

	2016	2015
Accounts receivable from affiliates (Refer Note 10)	421,071	297,047
Accounts receivable, gross	5,554,345	6,254,390
Less: Allowance for doubtful accounts	(22,805)	(22,805)
Accounts receivable, net of allowances	5,531,540	6,231,585

The Company maintains an allowance for doubtful accounts based on financial condition of the customer and ageing of the accounts receivable. The activity in the allowance for doubtful debts for account receivable is as follows:

	2016	2015
Allowance at the beginning of the year	22,805	20,250
Provided during the year	-	2,555
Allowance at the end of the year	22,805	22,805

4. Other current assets:

Other current assets consist of the following:

	2016	2015
Prepaid expenses	36,705	31,396
Advances to suppliers and others	47,096	10,625
Deposits	24,880	55,774
	108,681	97,795

5. Plant and equipment, net:

Plant and equipment, net consist of the following:

	2016	2015
Computer equipment	379,596	432,333
Furniture and fixtures & office equipment	224,248	221,276
Leasehold improvements	179,092	173,060
	782,936	826,669
Accumulated depreciation	(721,107)	(689,958)
	61,829	136,711

Depreciation expense amounted to USD 33,259 and USD 40,792 for the years ended March 31, 2016 and 2015 respectively.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

6. Goodwill:

Goodwill of \$ 2,219,224 represents the excess of the aggregate purchase price over the fair value of net assets acquired in connection with a business combination that was consummated during the year ended March 31, 2006.

Goodwill is tested for impairment at least annually. The fair value of the Company's reporting unit was determined on the basis of an independent valuation using the market approach and the discounted cash flow approach. No impairment was identified as of March 31, 2016 and 2015.

7. Borrowings from bank:

On December 19, 2008, the Company entered into a revolving line of credit with Citizens Bank that permitted the Company to draw up to USD 2,000,000 through 2016, bearing interest at LIBOR plus 2% for the years ended March 31, 2016 and 2015. The Company must also pay an unused fee of 0.10% for the years ended March 31, 2016 and 2015. The applicable interest rate was 2.43% and 2.17% for the years ended March 31, 2016 and 2015 respectively. The unused fee was 0.10% as of March 31, 2016 and 2015. At March 31, 2016 and 2015, the Company had USD 2,000,000 available to be drawn down under this facility.

Borrowings are collateralized by a first lien on accounts receivable and a pledge on all business assets of the Company. MIL, the parent company, has issued a corporate guarantee of USD 2,000,000 on behalf of the Company, to Citizens Bank towards the line of credit facility. The agreement contains financial covenants and restrictions on indebtedness. The interest and unused fee amounting to USD 2,033 and USD 2,088 for the years ended March 31, 2016 and 2015 respectively on the above facility have been charged to interest expense.

8. Other current liabilities:

Other current liabilities consist of:

	2016	2015
Accrued expenses	1,409,180	1,758,807
Statutory liabilities	54,727	56,435
	<u>1,463,907</u>	<u>1,815,242</u>

9. Income taxes:

The income tax expense during the years ended March 31, 2015 and 2014 consist of the following:

	2016	2015
Current taxes		
Federal	1,233	(1,165,056)
State	19,388	625
	<u>20,621</u>	<u>(1,164,431)</u>
Deferred taxes		
Federal	8,065	50,358
State	61,508	(3,010)
	<u>69,573</u>	<u>47,348</u>
Income tax expense / (benefit)	<u>90,194</u>	<u>(1,117,083)</u>

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

9. Income taxes (continued):

Income tax benefit for the current year attributable to income from continuing operations differed from the amounts computed by applying the US federal statutory income tax rate of 34% primarily due to decrease in uncertain tax positions as per the guidelines of ASC 740 and change in valuation allowance.

Deferred income taxes reflect the net effects of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of net deferred tax assets and liabilities as of March 31, 2016 and 2015 are as follows:

	2016	2015
Deferred tax assets:		
Bad debt reserve	8,785	8,559
Carry forward business losses	146,209	307,437
Intangible assets	166,938	195,157
Accrued expenses and liabilities	162,266	154,859
Plant and equipment	29,877	22,494
Others	71,065	76,480
Total gross deferred tax asset	585,140	764,986
Less: Valuation allowance	(585,140)	(764,986)
Total deferred tax assets	-	-
 Deferred tax liabilities:		
Goodwill	(564,635)	(495,062)
 Net deferred tax liability	 (564,635)	 (495,062)
 Classified as		
Deferred tax asset – Current	-	-
Deferred tax asset – Non-current	-	-
Deferred tax liability – Non-current	564,635	495,062

Management establishes a valuation allowance on deferred tax assets when it is more likely than not that the benefit of such deferred tax assets will not be realised. The ultimate realization of deferred tax assets is dependent upon management's assessment of the Company's ability to generate taxable income during the periods in which the temporary differences become deductible. Based on the historical level of taxable income and projections of future taxable income over the periods in which the deferred tax assets are deductible, management believes that it is more likely than not the Company will realize the benefits of these deductible differences net of the existing valuation allowances at March 31, 2016 and 2015. Management's assessment in the near term is subject to change if estimates of future taxable income are reduced.

The Company has recorded a valuation allowance of USD 585,140 and USD 764,986 as at March 31, 2016 and March 31, 2015 respectively representing a decrease in valuation allowance of USD 200,351 primarily on account of utilization of past carryforward losses during the current year. Management based on its future business projections believes that it is more likely than not that the Company will not be able to utilize the deferred tax asset.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

9. Income taxes (continued):

As of March 31, 2016 and 2015, the Company has federal and state net operating loss carry forwards of USD 583,401 and USD 1,405,287 respectively available to offset future taxable income, which expire in various years beginning in 2017.

As of March 31, 2016 and 2015, the liability for unrecognized tax benefits was USD Nil and USD Nil including accrual for interest of USD Nil and USD Nil, respectively.

The Company files federal and various state tax returns. As a result of the net operating losses in prior years, the federal statute of limitations will remain open for a period following any utilization of the net operating loss carry forwards, and as such, these periods remain subject to examination for tax years after 2011. With few exceptions, the state filings are no longer subject to examination by the tax authorities for tax years before 2011. The Company is currently not under examination by the Internal Revenue Service or any other taxing authority.

10. Related party transactions

The Company has also entered into the following significant transactions with related parties:

	2016	2015
Expenses incurred by the Company and reimbursed by:		
a) Mindteck (India) Limited – holding company	380,444	273,921
b) Mindteck UK Limited - fellow subsidiary	21,253	1,158
c) Mindteck Singapore Pte Ltd– fellow subsidiary	2,771	1,780
d) Mindteck Germany GmbH– fellow subsidiary	271,521	250,354
e) Mindteck Malaysia – fellow subsidiary	1,127	-
Subcontracting costs:		
a) Mindteck (India) Limited – holding company	6,285,220	8,233,843
b) Mindteck Singapore Pte Ltd– fellow subsidiary	167,673	213,437
c) Mindteck UK Limited - fellow subsidiary	34,045	355,761
Reimbursement by the Company of the expenses incurred by:		
a) Mindteck (India) Limited – holding company	1,095,003	879,298
b) Mindteck Singapore Pte Ltd– fellow subsidiary	-	-
c) Mindteck UK Limited - fellow subsidiary	2,485	52,064

The balances receivable from and payable to related parties as at March 31, 2016 and 2015 are as follows:

Accounts receivable	2016	2015
Mindteck (India) Limited - holding company	351,906	273,922
Mindteck Germany GmbH - fellow subsidiary	65,667	22,903
Mindteck Malaysia	1,127	-
Mindteck Singapore Pte Ltd - fellow subsidiary	2,328	116
Mindteck UK Limited - fellow subsidiary	43	106
Total	421,071	297,047

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

10. Related party transactions (continued)

Accounts payables

	2016	2015
Mindteck (India) Limited – holding company	806,799	948,404
Mindteck UK Limited - fellow subsidiary	-	28,845
Mindteck Singapore Pte Ltd– fellow subsidiary	45,615	40,257
Total	<u>852,414</u>	<u>1,017,506</u>

Loans to affiliates

	2016	2015
Mindteck Middle East Limited SPC - fellow subsidiary	185,960	185,960
Mindteck Singapore Pte Ltd - fellow subsidiary	147,000	-

Loan to Mindteck Middle East Limited SPC is interest-free and repayable on demand. Loan to Mindteck Singapore Pte Ltd carried interest of 2% with an option to pay anytime on or before 10 August 2017. The loan has been subsequently repaid on 12 May 2016.

MINDTECK INC.
NOTES TO FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

11. Stock option plan

Mindteck Employees Stock Option Scheme 2005

Mindteck (India) Limited introduced the 'Mindteck Employees Stock Option Scheme 2005' ('the Option Scheme 2005') for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on July 4, 2005 and the shareholders meeting held on July 29, 2005. The Option Scheme 2005 provides for the creation and issue of 500,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.16 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors of MIL. The options vest annually in a graded manner over a three year period and are exercisable during a maximum period of five years from the date of vesting.

The Company has granted 9,600 options during the year ended March 31, 2016 and 8,400 options during the year ended March 31, 2015.

Stock option activity under the Option Scheme 2005 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2016	2015	2016	2015
Outstanding at the beginning of the year	25,500	37,200	0.40	0.32
Granted during the year	9,600	8,400	1.97	0.60
Forfeited and lapsed during the year	(4,800)	(15,300)	1.97	0.30
Exercised during the year	-	(4,800)	-	0.30
Outstanding at the end of the year	30,300	25,500	0.63	0.40
Exercisable at the end of the year	19,900	17,100	0.63	0.30

The following table summarizes information relating to stock options outstanding under the Option Scheme 2005 as of March 31, 2016 and 2015:

Exercise price (\$)	Shares arising out of outstanding no. of options		Weighted average remaining contractual life		Shares arising out of exercisable no. of options	
	2016	2015	2016	2015	2016	2015
0.33	30,300	-	3.81	-	19,900	-
0.30	-	25,500	-	4.28	-	17,100
	30,300	25,500			19,900	17,100

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11. Stock option plan (continued)

Mindteck Employees Stock Option Scheme 2008

Mindteck (India) Limited introduced the 'Mindteck Employees Stock Option Scheme 2008' ('the Option Scheme 2008') for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on May 27, 2008 and the shareholders meeting held on July 30, 2008. The Option Scheme 2008 provides for the creation and issue of 1,200,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.16 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors. The options will vest after the expiry of a period of twelve months from the date on which the options are granted. The vesting term and the period over which the options are exercisable is to be decided by the Nomination & Remuneration Committee of the Board of Directors.

The Company has granted nil options during the year ended March 31, 2016 and 65,000 options during the year ended March 31, 2015.

Stock option activity under the Option Scheme 2008 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2016	2015	2016	2015
Outstanding at the beginning of the year	50,000	-	0.66	-
Granted during the year	-	65,000	-	0.70
Forfeited and lapsed during the year	(15,000)	(15,000)	0.66	0.70
Exercised during the year	-	-	-	-
Outstanding at the end of the year	35,000	50,000	0.66	0.70
Exercisable at the end of the year	11,667	-	0.66	-

The following table summarizes information relating to stock options outstanding under the Option Scheme 2008 as of March 31, 2016 and 2015:

Exercise price (\$)	Shares arising out of outstanding no. of options		Weighted average remaining contractual life		Shares arising out of exercisable no. of options	
	2016	2015	2016	2015	2016	2015
0.66	35,000	-	-	-	11,667	-
0.70	-	50,000	5.37	6.37	-	-
	35,000	50,000			11,667	-

During the year ended March 31, 2016 and 2015, the Company recognized approximately USD 6,302 and USD 3,242 as stock-based compensation expense respectively. For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

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11. Stock option plan (continued)

The Company has granted 9,600 shares during the year ended March 31, 2016 and 73,400 shares during the year ended 31 March 2015. The per share weighted average fair value of stock options granted during the year ended March 31, 2016 and 2015 were USD 1.97 and USD 0.68 respectively. The fair value of each stock option grant is estimated on the date of grant using the Black-Scholes option pricing model with the following assumptions:

	2016	2015
Dividend yield	5%	5%
Expected term	4 years	4 years
Risk free interest rate	7.45%	7.9%
Volatility	55 - 70 %	59 - 65 %

The unamortized stock compensation cost relating to unvested options as at March 31, 2016 and March 31, 2015 amounts to USD 15,642 and USD 16,460 respectively. The total fair value of shares vested was USD 4,890 and USD 1,737 during the years ended March 31, 2016 and 2015.

12. Commitments and contingencies

Leases

The Company is obligated under non-cancelable operating lease for office and residential space and equipments that are renewable on a periodic basis at the option of both the lessor and the lessee.

As at March 31, 2016, future minimum lease payments under non-cancelable leases are:

Year ending March 31, 2017	210,946
Year ending March 31, 2018	197,088
Year ending March 31, 2019	187,412
Year ending March 31, 2020	162,494
Year ending March 31, 2021	94,932
Total	852,871

Total rental expenditure under the operating lease, cancelable and non-cancelable was USD 237,762 and USD 334,924 for the years ended March 31, 2016 and 2015 respectively.

Capital Commitments

There were no capital commitments as of March 31, 2016 and 2015.

Contingencies and lawsuits

The Company is involved in lawsuits, claims, investigations and proceedings, including patent and commercial matters, which arise in the ordinary course of business. The Company believes that there are no such pending matters that are expected to have any material adverse effect on its financial statements.

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13. Stockholders' equity and dividend:

The Company presently has one class of stock – common stock. For all matters submitted to vote in the stockholders' meeting, every holder of common stock as reflected in the records of the Company on the date of the stockholders' meeting shall have one vote in respect of each share held. In the event dividend is declared, it is recognized upon approval by the Board of Directors.

14. Subsequent events

The Company performs an evaluation of events that occur after the balance sheet date but before the financial statements are issued or available to be issued, for potential recognition or disclosure of such events in its financial statements. The Company evaluated all events or transactions that occurred between March 31, 2016 and July 29, 2016, the date the Company issued their financial statements and determined that no events or transactions which would require adjustments or disclosure in the Company's financial statements.